

Quality Momentum — rebuild candidate

Nifty 250 · monthly · 25 names · adaptive process (yearly refit on trailing five years) · research report generated 2026-09-10 from the honest master store · backtest, not live; net of 20 bps slippage each way; price-return basis (dividends excluded from portfolio and benchmarks) · not a client document

Read first. Every number is a simulation on reconstructed point-in-time index membership with delisted names carried to their last price. The process (which configuration to run each year) was designed after the 2016-2026 window had been seen once; it is one of eight process variants examined, and its 2016-2026 Sharpe sits at the 0.9 gate rather than above it. Tax figures use a flat 25% on each financial year's realised gain, with no loss carry-forward, which is deliberately harsh.

2011-26

CAGR 21.4% post-tax 16.1%	Total return 1978% Nifty 250 511%	Max drawdown -34.6% 168 days peak to recovery	Sharpe (rf 5%) 0.97 Nifty 250 0.44	Sortino 1.14 Calmar 0.62	Volatility 16.8% Nifty 250 16.3%	Hit rate 54.8% 841 closed trades	Avg holding 166 days median 120	Turnover 3.2x / yr 108 trades / yr			
	CAGR	Total	Vol	Sharpe	Sortino	Calmar	Max DD	DD days	Best month	Worst month	Positive months
Portfolio	21.4%	1978%	16.8%	0.97	1.14	0.62	-34.6%	168	16.9%	-21.5%	67%
Portfolio post-tax	16.1%	945%	17.5%	0.64	0.71	0.47	-34.6%	168	16.9%	-21.5%	64%
Nifty 250	12.2%	511%	16.3%	0.44	0.55	0.32	-38.5%	1020	14.6%	-25.6%	62%
Nifty 500	10.3%	363%	16.2%	0.32	0.41	0.27	-38.3%	294	14.5%	-24.2%	59%

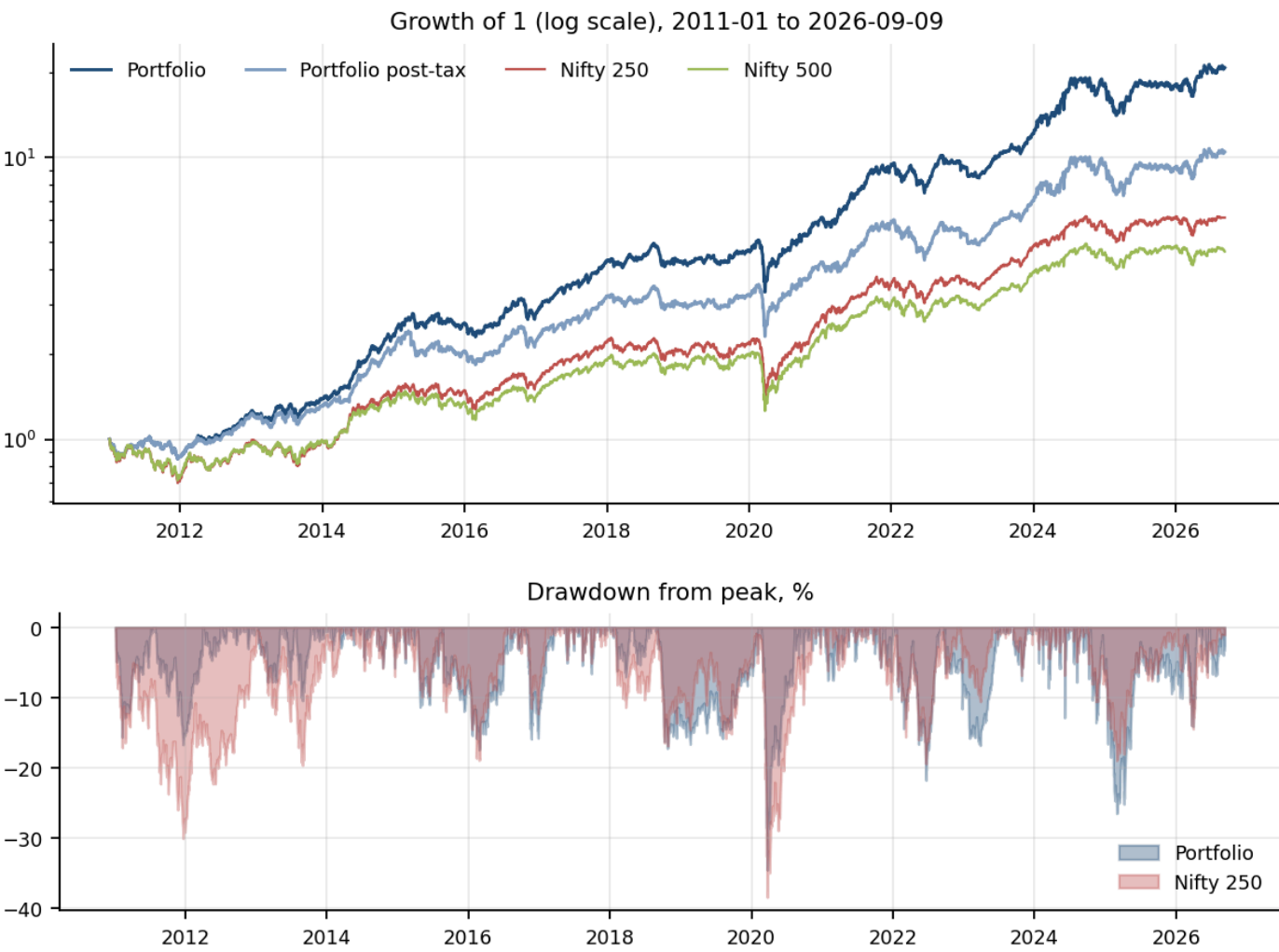
2016-26

CAGR 21.6% post-tax 16.5%	Total return 710% Nifty 250 312%	Max drawdown -34.6% 168 days peak to recovery	Sharpe (rf 5%) 0.90 Nifty 250 0.56	Sortino 1.03 Calmar 0.62	Volatility 18.5% Nifty 250 16.3%	Hit rate 52.2% 582 closed trades	Avg holding 159 days median 120	Turnover 3.1x / yr 110 trades / yr			
	CAGR	Total	Vol	Sharpe	Sortino	Calmar	Max DD	DD days	Best month	Worst month	Positive months
Portfolio	21.6%	710%	18.5%	0.90	1.03	0.62	-34.6%	168	16.9%	-21.5%	65%
Portfolio post-tax	16.5%	411%	19.1%	0.60	0.67	0.48	-34.6%	168	16.9%	-21.5%	62%
Nifty 250	14.2%	312%	16.3%	0.56	0.66	0.37	-38.5%	1020	14.6%	-25.6%	66%
Nifty 500	12.3%	246%	16.1%	0.45	0.54	0.32	-38.3%	294	14.5%	-24.2%	62%

Period returns to 2026-09-09

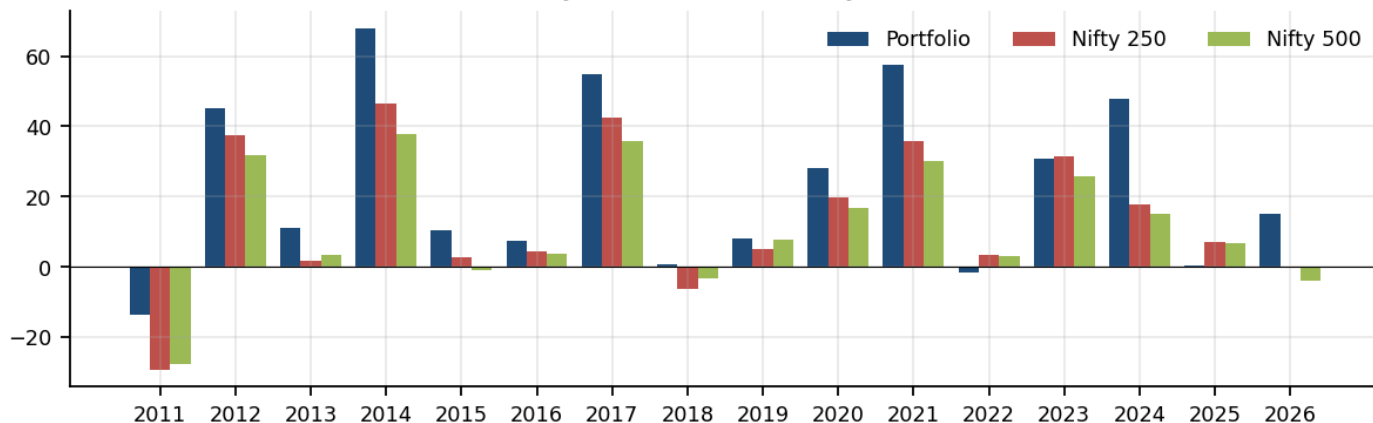
Period returns (annualised beyond 1Y)	1M	3M	6M	YTD	1Y	3Y	5Y	10Y	Since 2011
Portfolio	-0.0%	2.1%	16.9%	15.1%	15.8%	23.6%	19.0%	21.2%	21.4%
Portfolio post-tax	-0.0%	2.1%	15.2%	13.5%	14.1%	18.0%	13.8%	15.7%	16.1%
Nifty 250	-0.8%	5.0%	7.8%	0.1%	4.7%	11.9%	11.9%	13.7%	12.2%
Nifty 500	-3.3%	2.6%	4.1%	-3.8%	0.0%	9.5%	9.1%	11.7%	10.3%

Growth and drawdown



Calendar years

Calendar-year returns, % (2026 year to date)



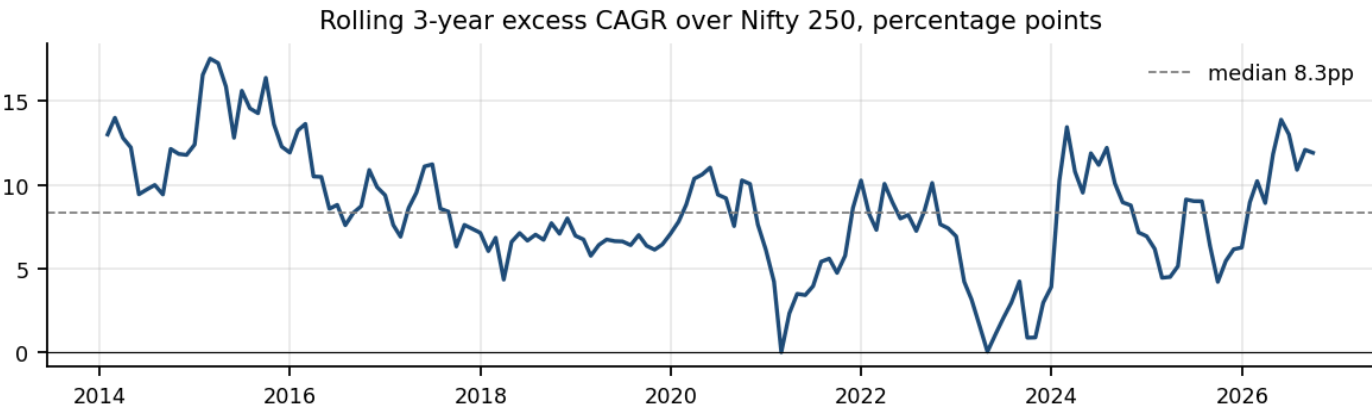
Year	Portfolio	Portfolio post-tax	Nifty 250	Nifty 500	Excess vs Nifty 250
2011	-13.5%	-13.5%	-29.2%	-27.4%	15.7%
2012	45.1%	42.0%	37.4%	31.8%	7.7%
2013	11.2%	7.3%	1.8%	3.6%	9.4%
2014	68.0%	59.0%	46.6%	37.8%	21.4%
2015	10.4%	-1.8%	2.9%	-0.7%	7.5%
2016	7.3%	7.3%	4.6%	3.8%	2.8%
2017	54.9%	45.5%	42.4%	35.9%	12.5%
2018	0.7%	-4.9%	-6.2%	-3.4%	6.9%
2019	8.1%	6.5%	5.0%	7.7%	3.1%
2020	28.2%	28.2%	19.7%	16.7%	8.5%
2021	57.5%	42.2%	35.7%	30.2%	21.9%
2022	-1.5%	-9.4%	3.4%	3.0%	-4.9%
2023	30.7%	30.7%	31.6%	25.8%	-0.9%
2024	47.9%	34.0%	17.7%	15.2%	30.1%
2025	0.4%	-2.3%	7.3%	6.7%	-6.9%
2026	15.1%	13.5%	0.1%	-3.8%	15.1%

Monthly returns, % (portfolio, pre-tax)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Year
2011	-8.0	-4.7	6.1	2.4	0.7	2.2	3.5	-4.9	-3.0	2.7	-4.9	-5.5	-13.5
2012	6.5	4.1	6.1	-0.7	0.7	1.5	-0.1	4.6	2.4	3.3	4.7	5.2	45.1
2013	-2.5	-4.8	1.4	5.0	4.6	-3.5	2.1	-4.7	6.0	4.3	0.1	3.5	11.2
2014	0.3	4.9	2.1	2.0	6.8	10.4	4.7	4.8	7.1	0.8	7.9	1.6	68.0
2015	8.0	1.8	3.7	-5.6	2.9	1.6	2.3	-1.2	-1.3	-0.4	-3.9	2.6	10.4
2016	-5.0	-5.7	4.4	3.9	1.5	4.5	8.0	4.1	1.1	3.3	-8.7	-2.9	7.3
2017	6.5	5.6	2.6	5.8	-0.5	3.6	3.4	1.5	-0.5	6.9	4.2	5.8	54.9
2018	0.6	-1.5	-3.3	10.0	-2.2	-0.7	4.1	7.9	-8.5	-6.3	1.5	0.6	0.7
2019	-2.3	-0.2	3.5	1.0	0.3	0.1	-4.7	2.0	3.5	4.5	-0.5	0.9	8.1
2020	4.4	-2.6	-21.5	16.9	-1.5	6.8	3.4	2.4	8.1	1.7	8.3	3.4	28.2
2021	-5.8	0.0	8.0	7.1	7.3	5.8	5.0	9.2	3.4	-1.0	2.7	5.6	57.5
2022	-4.9	-5.4	5.7	-0.6	-7.8	-3.0	9.7	10.7	-0.2	-0.9	0.1	-3.0	-1.5
2023	-6.8	-1.3	1.2	3.1	7.6	4.9	4.3	0.9	2.0	-3.2	8.7	6.9	30.7
2024	12.9	-0.1	1.0	7.5	7.9	8.0	10.0	0.0	-1.3	-7.7	1.2	2.2	47.9
2025	-9.5	-13.7	10.1	4.7	10.1	5.1	-2.6	-2.9	-0.1	1.9	0.6	-0.6	0.4
2026	-0.8	4.6	-12.2	16.6	9.3	-0.6	-2.8	3.5	-0.7				15.1

Largest drawdowns

Peak	Trough	Recovered	Depth	Days down	Days to recover	Total days
2020-02-24	2020-03-23	2020-08-10	-34.6%	28	140	168
2024-09-25	2025-02-28	2026-04-20	-26.6%	156	416	572
2022-01-14	2022-06-20	2022-08-30	-21.8%	157	71	228
2015-08-20	2016-02-26	2016-07-25	-17.5%	190	150	340
2018-09-03	2018-10-23	2020-02-06	-17.2%	50	471	521
2022-09-16	2023-03-27	2023-07-11	-16.8%	192	106	298

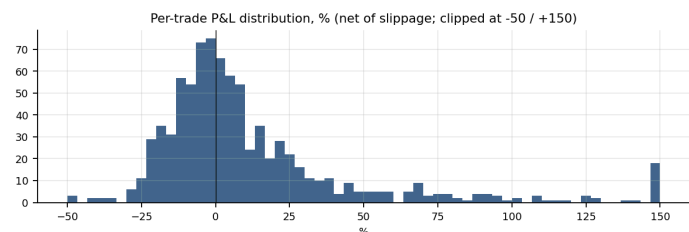


Trades

Per-trade P&L is net of slippage at both ends. A position open across a year boundary is closed in the outgoing configuration's book and reopened in the incoming one where the two differ; in live running that would be a single rebalance, so trade counts are marginally overstated at year ends.

Trade statistics	2011-26	2016-26
Closed trades	841	582
Win rate	54.8%	52.2%
Average winner	33.0%	32.7%
Average loser	-10.9%	-11.0%
Expectancy per trade	13.2%	11.8%
Profit factor (sum of wins / sum of losses)	3.67	3.25
Best trade	292.5%	292.5%
Worst trade	-78.2%	-54.4%
Average holding days	166	159
Median holding days	120	120
Exits by trailing stop	25.7%	25.4%
Trades per year	108	110
One-way turnover per year	3.2x	3.1x
Slippage cost per year	1.3%	1.3%

Holding period	Share of trades	Avg P&L
0-30 days	10.3%	-3.1%
31-60 days	12.7%	-7.0%
61-120 days	27.8%	-1.3%
121-250 days	28.1%	10.6%
251-5000 days	21.0%	55.9%



Tax and SIP

Portfolio taxed 25% on each financial year's positive gain at March 31 (turnover realises gains yearly). Indices taxed 25% once at exit, as a buy-and-hold investor would be. Post-tax CAGR 2011-26: portfolio 16.1%, Nifty 250 10.6%, Nifty 500 8.7%. 2016-26: 16.5%, 12.0%, 10.3%.

SIP Rs 10,000 / month	Invested	Portfolio (value, XIRR)	Nifty 250	Nifty 500
From 2011, pre-tax	18.9L	140.6L (7.4x), 22.7%	65.5L (3.5x), 14.5%	53.2L (2.8x), 12.2%
From 2011, post-tax	18.9L	85.6L (4.5x), 17.4%	53.8L (2.8x), 12.3%	44.6L (2.4x), 10.2%
From 2016, pre-tax	12.9L	46.1L (3.6x), 22.4%	29.2L (2.3x), 14.6%	25.4L (2.0x), 12.2%
From 2016, post-tax	12.9L	34.7L (2.7x), 17.6%	25.1L (1.9x), 12.0%	22.3L (1.7x), 9.9%

The process

Fixed: Nifty 250 universe (NIFTY LARGEMIDCAP 250, point-in-time membership), monthly entry and exit on the first trading day, 25 positions equal-weighted with no weight cap, exit buffer applied to the rank, 12-month lookback (252 sessions, 220 minimum), return filter on, fully invested, no exposure overlay. Refit each January on the trailing five years, choosing the best Sharpe among 36 configurations: score (capture ratio / 50-50 upside-and-capture / upside capture) × regimes (one, or bull-bear tilt on a NIFTY 100 ROC regime) × exit buffer (0/10/20) × trailing stop (off / 20%).

Year	Score	Regimes	Exit buffer	Trailing stop
2011	Capture ratio	one	20	20%
2012	Capture ratio	one	10	20%
2013	Capture ratio	one	20	20%
2014	Capture ratio	one	10	20%
2015	Capture ratio	one	10	20%
2016	Capture ratio	one	20	off
2017	Capture ratio	one	20	20%
2018	Capture ratio	one	20	off
2019	Capture ratio	one	20	off
2020	Capture ratio	one	20	off
2021	Capture ratio	one	20	20%
2022	Capture ratio	one	20	20%
2023	Capture ratio	one	20	20%
2024	50/50 UC + CR	one	10	20%
2025	50/50 UC + CR	one	0	20%
2026	50/50 UC + CR	one	10	20%

The switches are the source of the recent outperformance: everything with upside capture in the score made about 22% a year over 2024-26 against 8% for capture ratio alone, while the reverse held in 2016-23. The process follows that rotation with a one-to-two-year lag; it does not predict it.

Gates (pre-committed for the rebuild, 2026-09-10)

Gate	Value	Status
G2 OOS Sharpe 2016-26 ≥ 0.9	0.90	at the gate
G3 each sub-window ≥ 0.6	0.88 / 0.99 / 0.91	pass
G4 OOS max drawdown ≥ -40%	-34.6%	pass
G5 walk-forward	by construction	pass
G6 parameters ≤ 10	7 fixed + 3 refit yearly	pass
G8 CAGR ≥ 20% (OOS, pre-tax)	21.6%	pass

Caveats

- Designed after out-of-sample was opened once; one of eight process variants; the 0.9 gate is met at the boundary (standard error of a ten-year Sharpe is about 0.35).
- Benchmarks are price indices; Nifty 250 is the real index from 2020 spliced onto a 50/50 NIFTY 100 + Midcap 150 quarterly-rebalanced proxy (correlation 0.98, CAGR within 0.5pp).
- No exposure overlay: 2008-type events are outside the gated window; the fully invested book lost 65% in 2008 on this data. A 200-DMA breadth overlay protects such events at low cost in calm years but missed the 2020 recovery.
- Capacity, impact beyond 20 bps, and the tax treatment of an actual account are not modelled.
- Against Wright Momentum's published grid (Oct-2020 → Aug-2026, gross): theirs 31.2% CAGR / -21.7%, this book 26.3% net / -26.4%; the gap is 2021, the last three years favour this book.